

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<tool\_call> Reasoning process here :

Step 1 : Understand the problem .

Josh buys a house for \$ 80 , 000 and spends \$ 50 , 000 on repairs . The repairs increased the value of the house by 150 % . We are to find the profit he made .

Step 2 : Calculate the new value of the house after the 150 % increase .

The increase is 150 % of the original price . So the value increased by :

$$150\% \text{ of } \$80,000 = (150/100) \times \$80,000 = 1.5 \times \$80,000 = \$120,000$$

So , the new value of the house is :

$$80,000 + 120,000 = 200,000$$

Step 3 : Total cost to Josh

Josh spent :

- \$ 80 , 000 to buy the house

- \$ 50 , 000 on repairs

$$\text{Total cost} = 80,000 + 50,000 = 130,000$$

Step 4 : Profit = Selling price ( new value ) â Total cost

$$\text{Profit} = 200,000 \text{ â } 130,000 = 70,000$$

Thus , Josh made a profit of \$ 70 , 000 .

< answer > 70000 </answer>